

Accounting and Finance model questions for National Exit Exam

1. What is the primary role of the financial system?
 - A. manage government spending
 - B. allocate resources efficiently within an economy**
 - C. control inflation rates
 - D. to set tax policies
2. What is the purpose of a credit rating agency?
 - A. To set interest rates for loans
 - B. assess the creditworthiness of borrower**
 - C. manage government debt

D. regulate financial institutions

3. What is the main purpose of a stock market:

A. To facilitate trade between countries

B. Provide loans to businesses

C. To allow companies to raise capital by selling shares

D. To manage government debt issuance

4. What is the role of a bond market in the financial system?

A. Provide short-term funding for businesses

B. offer investment opportunities with fixed returns

- C. facilitate currency exchange, and
- D. to manage individual savings accounts

5. How does the financial system facilitate economic growth?

- A. By providing affordable housing options
- B. Efficiently allocating resources for investment**
- C. By controlling inflation rates
- D. Managing consumer spending habits.

6. What is the role of financial institutions in managing risk?

- A. By offering insurance products for various risks**

- B. Setting interest rates for loans
- C. providing tax breaks for businesses
- D. by imposing tariffs on imported goods

7. How does the financial system affect the distribution of wealth within a society?

A. By providing equal access to financial services for all

B. influencing investment returns and access to capital

C. setting minimum wages for all jobs

D. by providing government welfare programs

8. The primary function of commercial banks is to:

- A. Offer investment products like stocks and bonds
- B. Provide short-term loans to businesses
- C. facilitate international trade finance
- D. **accept deposits and offer checking and savings accounts**

9. Investment banks focus on:

- A. Managing everyday financial needs of individuals
- B. **Raising capital for businesses through public offerings**
- C. Providing insurance coverage for various risks.
- D. Offering low-interest loans for homeownership

10. Credit unions operate as:
- A. For-profit institutions aiming to maximize shareholder wealth
 - B. Non-profit member-owned cooperatives offering financial service**
 - C. Government agencies regulating the financial system
 - D. Investment platforms focused on stock market trading
11. Insurance companies play a key role in:
- A. Facilitating currency exchange between countries
 - B. Managing risk by pooling resources to cover potential losses**
 - C. Setting interest rates for loans

D. Providing short-term working capital for businesses

12. Microfinance institutions provide financial services to:

A. large corporations seeking international investment opportunities

B. low-income individuals and small businesses often excluded from traditional banking

C. high net-worth individuals seeking wealth management services

D. government agencies managing public finances

13. Mutual funds pool investor money to invest in:

A. Real estate properties directly

**B. Diversified basket of securities
(stocks, bonds, etc.)**

C. Providing insurance coverage for
individual assets

D. Offering short-term consumer loans

14. The Loanable Funds Theory suggests
that:

A. Interest rates are determined by the
government's monetary policy

B. Interest rates are set based on the risk
profile of the borrower

**C. Interest rates adjust based on the
supply and demand for loanable
funds**

D. Interest rates are solely influenced
by inflation expectations

15. What is the trade-off between liquidity and return according to this Liquidity Preference Theory

A. More liquid assets offer higher potential returns

B. Less liquid assets are generally more liquid

C. There is no relationship between liquidity and return

D. Investors prioritize liquidity over higher returns

16. The structure of interest rates refers to:

A. The historical changes in interest rates over time

B.the relationship between interest rates and the creditworthiness of borrowers

C.A fixed set of interest rates offered by all financial institutions

D. The impact of inflation on the real value of interest rates

17. What is the impact of the loan term (maturity) on the interest rate?

A. Generally, longer-term loans come with higher interest rates due to increased risk

B.short-term loans always have a higher interest rate than long-term loans

C.the loan term has no bearing on the interest rate offered

D. interest rates decrease as the loan term gets longer

18. How does the type of loan (e.g., mortgage, car loan) influence the interest rate

A. Secured loans with collateral typically have lower interest rates

B. Unsecured loans with no collateral always have a higher interest rate

C. The loan type has no impact on the interest rate structure

D. all loan types come with the same standardized interest rate

19. How can government policies impact the structure of interest rates:

A. By setting reserve requirements for banks, influencing the money supply and lending rates

B.by directly controlling the interest rates offered by individual institutions

C.imposing taxes on interest earned on loans

D. there is minimal government influence on the structure of interest rates

20. How does inflation affect the structure of interest rates?

A. Nominal interest rates typically rise to compensate for expected inflation

B. Inflation has no impact on the structure of interest rates

C. Deflation (falling prices) leads to a decrease in interest rates

D. The central bank directly adjusts interest rates based on inflation

21. Short term financial instruments issued by commercial banks:

A. Certificate of Deposit

B. Commercial Paper

C. Treasury bill

D. Call money

22. Every financial market performs which of the following functions

A. Determines the price of gold

B.Channels funds from lenders to borrowers

C.Manages government budgets

D. Sets tax rates

23. The capital market facilitates the trading of:

A. Short-term debt instruments

B.Long-term financial securities

C.Everyday goods and services

D. Government issued currency

24. Companies can raise long-term capital by issuing:

A. Treasury bills

B.Certificates of deposit

C. Corporate bonds

D. Money market instruments

25. Ownership in a company is represented by:

- A. Bonds
- B. Stocks (Equity)
- C. Derivatives contracts
- D. Mutual fund shares

26. Investors who buy stocks are looking for:

- A. Fixed interest payments
- B. Potential for capital appreciation and dividends**
- C. Short-term liquidity
- D. Guaranteed returns

27. Initial Public Offerings (IPOs) occur in the:

- A. Secondary market

B.Primary market

C.Derivatives market

D. Foreign exchange market

28. Government bonds are considered to be:

A. high-risk, high reward investments

B.relatively low-risk investments

C.Speculative instruments

D. only for institutional investors

29. The money market deals with:

A. Long-term debt instruments

B.Short-term debt instruments

C.Ownership shares in companies

D. Real estate investments

30. Commercial paper represents
unsecured, short-term debt issued by:

- A. Individuals
- B. Corporations**
- C. Government agencies
- D. Mutual funds
- E.

31. Derivatives derive their value from the performance of:

- A. The money market
- B. Underlying assets**
- C. Interest rates
- D. Government regulations

32. Derivatives are primarily used for:

- A. Long-term investment strategies
- B. Managing risk (hedging) and speculation**
- C. Simplifying the trading process

D. Increasing the money supply

33. Options contracts grant the holder the:

A. Obligation to buy or sell an underlying asset at a specific price by a certain date

B. Right to receive interest payments

C. Ownership of the underlying asset

D. Guaranteed return on investment

34. A call option gives the holder the right, but not the obligation, to:

A. Sell an underlying asset at a specific price by a certain date

B. Buy an underlying asset at a specific price by a certain date

C. Receive dividends from the underlying asset

D. Convert the option into a stock

35. What is the objective of audit sampling?

A. To test every transaction in a company's financial statements.

B. To obtain reasonable assurance that the financial statements are free from material misstatement.

C. To evaluate the quality of the company's internal controls.

D. To identify and prevent fraudulent activities in a company's financial statements.

ANSWER: B

Which of the following factors should be considered when determining the sample size for an audit?

- A. The auditor's personal preferences.
- B. The amount of the company's assets.
- C. The level of risk associated with the account being audited.
- D. The company's profit margin.

ANSWER: C

Which of the following sampling techniques is used to select a sample that is representative of the population being tested?

- A. Cluster sampling.
- B. Stratified sampling.
- C. Systematic sampling.

D. Random sampling.

ANSWER: D

Which is not the objective of Operational audit?

A. Evaluating Unit performance in relation to established criteria

B. Assuring that all operating reports are on constant basis

C. Assuring operational efficiency and economy

D. Assuring fair presentation of financial statements

ANSWER: D

A management assertion category which asserts whether particular components of an account is properly classified and disclosed is

A. Valuation

B. Existence and occurrence

C. Presentation and disclosure

D. Right and obligations

ANSWER: C

Audit report is the final steps in the entire audit process among the standard, collecting and accumulating sufficient and appropriate evidence is expressed in which paragraph of audit report.

A. Additional paragraph

B. Scope paragraph

C. Opinion paragraph

D. Introductory paragraph

ANSWER: B

Which is not the possible defense mechanism to auditor against lawsuit by third parties?

A. Lack of duty to perform

B. Contributory negligence

C. Non- negligent performance

D. Absence of causal connection

ANSWER: B

Which of the following is an example of fraud?

A. A company overestimates the amount of inventory on hand

B. An employee accidentally misstates the company's revenue

C. A company mistakenly records an asset as a liability

D. An employee intentionally manipulates financial records

ANSWER: D

Which of the following is an example of a substantive test?

A. Testing the control environment

B. Confirming account balances with third parties

C. Testing for fraud

D. Reviewing management's financial representations

ANSWER: B

Which audit report indicates that there are no material misstatements in the financial Statements?

- A. Qualified opinion
- B. Adverse opinion
- C. Unmodified opinion
- D. Disclaimer of opinion

ANSWER: C

Company A acquires 80% of company B for \$1,000,000. Calculate the non-controlling interest (NCI) based on the fair value of company B's net assets being \$600,00.

- A. \$240,000
- B. \$120,000

C. \$180,000

D. \$60,000

ANSWER: B

What is the primary purpose of a capital project fund in governmental accounting?

A. To account for general government operations

B. To accumulate resources for and manage long-term capital projects

C. To record day-to-day operational activities

D. To manage specific revenue sources

ANSWER: B

What are current assets?

A. Assets purchased within the last year.

B. Assets expected to be converted into cash within one year or operating cycle.

C. Assets which will be used within the next month.

D. Assets are the net working capital of the firm.

ANSWER: B

The income statement reveals

A. Resources and equities of a firm at a point in time

B. Net earnings (net income) of a firm for a period of time

C. Resources and equities of a firm for a period of time

D. Net earnings (net income) of a firm at a point in time

ANSWER: B

Which one of the following statements regarding the statement of financial position is false?

A. It was formerly known as the balance sheet.

B. It shows the assets and liabilities of a business at a certain point in time.

C. It shows how much the owner has invested in the business.

D. It shows the average assets and liabilities of a business over the last financial period

ANSWER: D

Which one of the following is not a category of cash flows required to be shown on the statement of cash flows?

- A. Cash flows from operating activities
- B. Cash flows from taxation
- C. Cash flows from financing activities
- D. Cash flows from investing activities

ANSWER: B

When preparing bank reconciliation, bank collections are:

- A. Deducted from the bank statement balance.
- B. Added to the balance per books.
- C. Added to the bank statement balance
- D. Deducted from the balance per books.

ANSWER: B

Receipt of unearned revenue

A. Decreases a liability; increases stockholders' equity.

B. Decreases revenue; increases stockholders' equity.

C. Increases an asset; increases revenue.

D. Increases an asset; increases a liability.

ANSWER: D

The economic entity assumption in financial accounting assumes that:

A. The business will continue operating indefinitely

B. The financial statements are prepared using historical cost

C. The business is separate from its owners and other entities

D. Financial information should be presented with a view to maximizing profits

ANSWER: C

The principle that requires an entity to disclose all necessary information for users to understand the impact of its financial position and performance is called:

A. Materiality

B. Full disclosure

C. Consistency

D. Conservatism

ANSWER: B

The accounting assumption that allows financial information to be recorded and reported in intervals is known as:

- A. Periodicity
- B. Consistency
- C. Objectivity
- D. Going concern

ANSWER: A

Which of the following methods assumes that the first inventory purchased is the first inventory sold?

- A. FIFO
- B. LIFO
- C. Weighted Average
- D. Specific Identification

ANSWER: A

Which one of the following is correct about Credits?

- A. Increase both assets and liabilities
- B. Decrease both assets and liabilities
- C. Increase assets and decrease liabilities
- D. Decrease assets and increase liabilities

ANSWER: D

In preparing a bank reconciliation, the amount of checks outstanding would be

- A. Deducted from the bank balance according to the depositor's records
- B. Deducted from the bank balance according to the bank statement

C. Added to the bank balance according to the bank statement

D. Added from the bank balance according to the depositor's records

ANSWER: B

A debit may signify:

A. A decrease in an asset account

B. An increase in the owner's capital account

C. An increase in asset account

D. An increase in liability account

ANSWER: C

26. Which one of the following account is not appear on post-closing trial balance?

A. Cash

B. notes payable

C. Revenue

D. Owner's equity

ANSWER: C

The balance in unearned revenue at the end a period represents:

A. An asset

B. A liability

C. A revenue

D. An expense

ANSWER: B

The use of prenumbered checks in disbursing cash is an application of the principle of

A. Establishment of responsibility

B. physical controls

C. Segregation of duties

D. documentation procedure

ANSWER: D

Assume at the end of the fiscal year, accounts receivable has a balance of 120,000 Birr and allowance for doubtful accounts has a balance of 15,000Birr Then the expected realizable value of the accounts receivable is:

A. 15,000Birr

B. 135,000Birr

C. 105,000Birr

D. 120,000Birr

ANSWER: C

Assume ABC Company had an owner's equity balance of 180,000Birr at beginning of the period at the end of the period, the company had total assets of 245,000Birr and total liabilities 25,000Birr had occurred during the period?

- A. 170,000 net income
- B. 170,000 net loss
- C. 15,000 net income
- D. 15,000 net loss

ANSWER: C

An example of an accelerated depreciation method is:

- A. straight-line
- B. double-declining-balance

C. units-of-production

D. Depletion.

ANSWER: B

The receipt of cash from customers in payment of their accounts would be recorded by:

A. a debit to Cash and a credit to Accounts Receivable.

B. a debit to Accounts Receivable and a credit to Cash.

C. a debit to Cash and a credit to Accounts Payable.

D. a debit to Accounts Payable and a credit to Cash.

ANSWER: A

Which of the following transactions would increase both assets and liabilities?

- A. Purchase of equipment on credit
- B. Payment of utility bills
- C. Sale of inventory for cash
- D. Withdrawal of cash by the owner

ANSWER: A

If a company receives cash from customers for services rendered, how does it affect the accounting equation?

- A. Assets decrease, Liabilities decrease
- B. Assets increase, Owner's Equity increases
- C. Liabilities decrease, Owner's Equity decreases
- D. Assets decrease, Liabilities increase

ANSWER: B

Which of the following represents the residual interest in the assets of the entity after deducting liabilities?

A. Assets

B. Liabilities

C. Owner's Equity

D. Revenue

ANSWER: C

Company X acquires 100% of company Y for \$2,000,000 in a cash acquisition. If the fair value of Y's identifiable net assets is \$1,500,000, what is the goodwill recognized?

A. \$1,500,000

B. \$2,000,000

C. \$500,000

D. \$3,500,00

ANSWER: C

37. Under IPSAS, when a grant is received for a specific program and is required to be used only for that program, which fund would account for it?

A. General revenue fund

B. Debt service fund

C. Capital projects fund

D. Special revenue fund

ANSWER: D

What type of basis of accounting is typically used in general revenue funds under IPSAS?

A. Accrual basis

B. Modified accrual basis

C. Cash basis

D. IFRS basis

ANSWER: B

Under IPSAS, what is the primary purpose of the general revenue fund's budget?

A. To allocate resources for specific programs

B. To ensure compliance with debt service requirements

C. To plan and control general government operations

D. To fund long-term capital projects.

ANSWER: C

In a general revenue fund under IPSAS, which of the following is an example of expenditure?

- A. Property tax collections
- B. Purchase of office furniture
- C. Transfer from another fund
- D. Interest income

ANSWER: B

Which of the following represents the financial performance of a company over a specific period?

- A. Statement of Financial Position
- B. Statement of profit or loss
- C. Statement of cash flow
- D. Statement of changes in equity

ANSWER: B

Which financial statement provides a snapshot of a company's financial position at a specific point in time?

- A. Statement of Financial Position
- B. Statement of profit or loss
- C. Statement of cash flow
- D. Statement of changes in equity

ANSWER: A

What does it mean that accrual basis in accounting?

- A. Recording revenue and expenses when cash is received or paid
- B. Recording transactions at their fair market value

C. Recognizing revenue or expenses when earned or incurred, regardless of when cash is exchanged

D. Adjusting entries made at the beginning of the accounting period

ANSWER: C

What is the first step in the accounting cycle?

A. Journalizing transactions

B. Posting to ledger accounts

C. Analyzing transactions

D. Preparing financial statements.

ANSWER: C

Which financial statement is prepared first using the adjusted trial balance?

A. Statement of Financial Position

B. Statement of profit or loss

C. Statement of cash flow

D. Statement of changes in equity

ANSWER: B

Which of the following accounts is unique to a merchandising business compared to a service-based business?

A. Accounts Receivable

B. Merchandising Inventory

C. Salaries Expense

D. Rent Expense

ANSWER: B

Which inventory system is more suitable for businesses with high-value, low-volume inventory items?

- A. Perpetual inventory system
- B. Periodic inventory system
- C. Perpetual and periodic systems are equally suitable.
- D. A periodic system is more suitable than perpetual system.

ANSWER: A

In a perpetual inventory system, when is the cost of goods sold (COGS) recorded?

- A. At the end of the accounting period
- B. After each sale
- C. At the beginning of the accounting period
- D. Only during physical inventory counts

ANSWER: B

Which of the following statements is true regarding the perpetual inventory system?

A. It is only suitable for businesses with low-value, high-volume inventory items.

B. It updates inventory records continuously after each sale.

C. It requires physical inventory counts to determine the cost of goods sold (COGS).

D. It does not provide real-time information on inventory levels.

ANSWER: B

Which of the following best describes a merchandising business?

A. A business that provides services to customers

B. A business that manufactures goods for sale

C. A business that buys and sells goods to customers

D. A business that invests in financial assets

ANSWER: C

How does the rendering of services on account affect the accounting equation?

A. Liabilities increase; stockholder's equity decreases

B. Assets increase; liabilities increase

C. Assets decrease; stockholder's equity increases

D. Assets increase; stockholder's equity increases

ANSWER: D

If assets and liabilities at the beginning of the year were Birr 65,000 and Birr 40,000 respectively and at the end of the year were Birr 85,000 and Birr 50,000 respectively, calculate the net income if dividends of Birr 2,000 were paid and Birr 3,000 of additional capital stock was issued.

- A. Net income of Birr 9,000
- B. Net loss of Birr 10,000
- C. Net income of Birr 11,000
- D. Net income of Birr 8,000

ANSWER: A

The financial statements are usually prepared in which of the following sequences?

A. Income Statement, Balance Sheet, Retained Earnings, Cash Flows

B. Balance Sheet, Retained Earnings, Cash Flows, Income Statement

C. Balance Sheet, Retained Earnings, Income Statement, of Cash Flows

D. Income Statement, Retained Earnings, Balance Sheet, Cash Flows

ANSWER: D

What is the primary goal of international Financial Reporting Standards (IFRS)?

A. Harmonizing financial reporting globally

B. Maximizing shareholder wealth

C. Standardizing tax regulations

D. Controlling inflation

ANSWER: A

Which organization is responsible for developing and issuing IFRS?

A. Financial Accounting Standards Board (FASB)

B. International Accounting Standards Board (IASB)

C. Securities and Exchange Commission (SEC)

D. International Monetary Fund (IMF)

ANSWER: B

What is the primary regulatory body responsible for setting financial reporting standards in Ethiopia?

A. Financial Standards Board of Ethiopian (FSBE)

B. Accounting and Auditing Board of Ethiopian (AABE)

C. Ethiopian Revenue and Customs Authority (ERCA)

D. Ministry of Finance and Economic Development (MoFED)

ANSWER: B

When a company operates in multiple countries and conducts transactions in different currencies, which of the following risks is most relevant to its financial reporting?

A. credit risk

B. liquidity risk

C. exchange rate risk

D. Market risk.

ANSWER: C

Which of the following best describes the concept of the exchange rate?

A. The rate at which one currency can be exchanged for another

B. The rate at which a currency depreciates over time

C. The rate at which a currency is issued by a central bank

D. The rate at which a currency is regulated by the government.

ANSWER: A

When a company has a foreign currency transaction and the exchange rate changes between the transaction date and settlement

date, which of the following accounts is affected?

A. Accounts receivable

B. Accounts payable

C. Prepaid expenses

D. Accrued liabilities.

ANSWER: B

Company A, based in the United States, imports goods from a supplier in Europe and agrees to pay €100,000. If the exchange rate is 1 EUR = 1.2 USD, what is the USD equivalent of the liability?

A. \$80,000

B. \$100,000

C. \$120,000

D. \$125,000.

ANSWER: C

Company B, based in Europe, exports goods to a customer in the United States and invoices \$50,000. If the exchange rate is 1 EUR = 1.3 USD, what is the EUR equivalent of the revenue?

A. €38,461.54

B. €50,000

C. €62,500

D. €65,000.

ANSWER: A

Which of the following is not a primary user of financial accounting information?

A. Shareholders

B. Management

C. Regulatory authorities

D. Customers

ANSWER: B

What is the purpose of financial accounting?

A. To provide information for internal decision-making

B. To facilitate strategic planning by management

C. To communicate financial information to external parties

D. To control and monitor internal operations

ANSWER: C

A company has 100 units of inventory with a cost of Birr 50 per unit. On March 1, they

purchase 150 additional units of inventory with a cost of Birr 60 per unit. On April 1, they sell 200 units of inventory. Using the FIFO method, what is the cost of goods sold?

A. Birr 11,000

B. Birr 12,000

C. Birr 13,000

D. Birr 14,000

ANSWER: A

Which of the following asset must be depreciated over its useful life?

A. Land

B. Buildings

C. Account receivable

D. Cash

ANSWER: B

Which of the following is an example of tangible fixed assets?

A. Goodwill

B. Patents

C. Land and Buildings

D. Copyright

ANSWER: C

Which of the following is an example of a public enterprise in Ethiopia?

A. Ethiopian Airlines

B. Safaricom Ethiopia

C. Dangote Cement Ethiopia

D. MOENCO

ANSWER: A

Which of the following is a characteristic of a public enterprise?

- A. Privately owned and controlled
- B. Run for profit
- C. Governed by a board of directors
- D. Regulated by the stock market

ANSWER: C

Which of the following is an internal factor affecting the operations of a public enterprise in Ethiopia?

- A. Economic conditions
- B. Political stability
- C. Regulatory environment

D. Organizational culture

ANSWER: D

Impairment of an asset occurs when:

A. The asset's fair value exceeds its carrying amount

B. The asset's carrying amount exceeds its recoverable amount

C. The asset is sold for a profit

D. The asset is depreciated over time

ANSWER: B

The recoverable amount of an asset is the:

A. Original cost of the asset

B. Higher of its fair value less costs to sell and its value in use

C. Accumulated depreciation of the asset

D. Market value of the asset

ANSWER: B

Impairment loss on an asset is calculated as the difference between:

A. The asset's carrying amount and its fair value

B. The asset's historical cost and its recoverable amount

C. The asset's fair value and its value in use

D. The asset's carrying amount and its recoverable amount

ANSWER: D

How fair value is typically determined for a Level 1 asset?

- A. Through discounted cash flow analysis
- B. Based on quoted prices in an active market
- C. Using management estimates
- D. Through an independent appraisal

ANSWER: B

When measuring fair value, what does the term "exit price" refer to?

- A. The price at which an asset could be acquired
- B. The price at which an asset could be sold or transferred
- C. The historical cost of the asset
- D. The price at which an asset could be purchased

ANSWER: B

Which of the following is an example of a Level 3 input in the fair value hierarchy?

- A. Quoted prices in an active market for identical assets
- B. Inputs that are observable, but not considered to be the most reliable
- C. Unobservable inputs that are developed using the reporting entity's own assumptions
- D. Historical cost of an asset

ANSWER: C

When estimating the fair value of an asset, which approach involves estimating the present value of expected future cash flows?

- A. Market approach.
- B. Income approach.

C. Cost approach.

D. Replacement cost approach.

ANSWER: B

Assets are best described as:

A. Money owned by the company

B. Debts owed to the company

C. Economic resources owned or controlled by the company

D. Investments in other companies

ANSWER: C

What is the primary responsibility of AABE?

A. Taxation enforcement

B. Issuing accounting and auditing standards

C. Managing government budgets

D. Conducting financial audits

ANSWER: B

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D. Market value of the asset

ANSWER: B

What is the journal entry to record the write-off of an uncollectible account using the allowance method?

A. Debit Allowance for Doubtful Accounts, Credit Accounts Receivable

B. Debit Bad Debt Expense, Credit Allowance for Doubtful Accounts

C. Debit Accounts Receivable, Credit Allowance for Doubtful Accounts

D. Debit Bad Debt Expense, Credit Accounts Receivable

ANSWER: A

Which one of the following not describes cash?

A. Most illiquid asset

B. Basis for measuring and accounting for all items

C. Standard medium of exchange

D. Current asset

ANSWER: A

What is the primary purpose of accounting software in a computerized accounting system?

A. To manually record transactions

B. To calculate financial ratios

C. To store and process financial data efficiently

D. To eliminate the need for internal controls

ANSWER: C

Which of the following is a feature of computerized accounting systems?

- A. Reliance on manual data entry
- B. Limited reporting capabilities
- C. Ability to automatically generate financial statements
- D. Requirement of extensive paper-based records

ANSWER: C

Which of the following is a characteristic of a manual accounting system?

- A. Real-time processing of transactions
- B. Utilization of accounting software

C. Reliance on paper-based records and journals

D. Automated generation of financial statements

ANSWER: C

Which of the following statements is true regarding the accuracy of financial reporting in manual and computerized accounting systems?

A. Manual systems are generally more accurate than computerized systems.

B. Computerized systems are generally more accurate than manual systems.

C. Both manual and computerized systems have similar levels of accuracy.

D. The accuracy of financial reporting depends solely on the type of system used.

ANSWER: B

How does the speed of processing transactions differ between manual and computerized accounting systems?

A. Manual systems process transactions faster than computerized systems.

B. Computerized systems process transactions faster than manual systems.

C. Both manual and computerized systems process transactions at the same speed.

D. The speed of processing transactions depends on the complexity of the transaction.

ANSWER: B

Green Company's ending inventory is understated 4,000 Birr. The effects of this error on the current year's cost of goods sold and net income, respectively, are:

- A. Understated, overstated
- B. Overstated, overstated
- C. Overstated, understated
- D. Understated, understated

ANSWER: C

What is a joint arrangement in accounting?

- A. A business owned and operated by a single entity
- B. A partnership between two or more entities with shared control
- C. A subsidiary controlled by a parent company

D. A government-controlled entity

ANSWER: B

Which of the following statement is true about joint arrangement?

A. They always involve full control by one party

B. They may involve joint control or significant influence

C. They are solely government-controlled entities

D. They are limited to two parties only

ANSWER: B

What are the primary characteristics of a joint control arrangement?

A. Full control by one party

- B. Shared decision-making rights
- C. Majority ownership by one party
- D. Control exercised by a government entity

ANSWER: B

How are joint arrangements classified under IFRS?

- A. Joint control only
- B. Significant influence only
- C. Joint control or significant influence
- D. Sole control by one party

ANSWER: C

What is the main difference between a joint operation and a joint venture under IFRS?

A. A. Joint operations involve significant influence, while joint ventures involve joint control

B. Joint operations involve sole control, while joint ventures involve joint control

C. Joint operations are government-controlled entities, while joint ventures are private entities

D. There is no difference; the terms are used interchangeably

ANSWER: B

Which type of joint arrangement involves the joint control parties having rights to the assets and obligations for the liabilities of the arrangements?

A. Joint venture

B. Joint operation

C. Joint control entity

D. Joint entity

ANSWER: B

What distinguishes a joint venture from a joint operation?

A. Joint ventures involve shared control, while joint operations involve unilateral control

B. Joint ventures always have three or more parties involved, while joint operations involve only two parties

C. Joint ventures are only recognized under local accounting standards, while joint operations are recognized under international accounting standards

D. Joint ventures are limited to specific industries, while joint operations can occur across various industries

ANSWER: A

XYZ Ltd has a 30% ownership interest in a joint venture. How should XYZ account for its investment in the joint venture under the equity method if the joint venture reports a profit of \$100,000?

A. Recognize \$30,000 as revenue in XYZ's income statement

B. Recognize \$100,000 as revenue in XYZ's income statement

C. Recognize \$30,000 as a reduction in the carrying amount of the investment

D. Recognize \$100,000 as an increase in the carrying amount of the investment

ANSWER: A

Which account is not closed at the end of the accounting period?

A. Revenue accounts

B. Expense accounts

C. Dividend accounts

D. Asset accounts

ANSWER: D

ABC Ltd. purchased equipment for Birr 800,000 by issuing a promissory note. Which accounts are affected by this transaction?

A. Equipment increases; Notes Payable increases

B. Equipment increases; Cash increases

C. Equipment decreases; Notes Receivable decreases

D. Equipment decreases; Cash decreases

ANSWER: A

If a company records Birr 20,000 in depreciation expense for the period, which accounts are affected?

A. Depreciation Expense increases;
Accumulated Depreciation decreases

B. Depreciation Expense decreases;
Accumulated Depreciation decreases

C. Depreciation Expense increases;
Accumulated Depreciation increases

D. Depreciation Expense decreases;
Accumulated Depreciation increases

ANSWER: C

Which costing method assigns fixed overhead costs to products?

- A. Variable costing
- B. Activity-based costing
- C. Standard costing
- D. Absorption costing

ANSWER: D

Which cost changes in direct proportion to changes in the volume of production?

- A. Direct costs
- B. Indirect costs

C. Variable costs

D. Fixed costs

ANSWER: C

What is the formula for contribution margin?

A. Sales revenue - variable costs

B. Gross profit - fixed costs

C. Operating income - sales revenue

D. Cost of goods sold - operating expenses

ANSWER: A

Which of the following is an example of a fixed cost?

A. Direct labor

B. Raw materials

C. Property taxes

D. Packaging materials

ANSWER: C

What is the difference between absorption costing and variable costing?

A. Absorption costing assigns all manufacturing costs to products, while variable costing assigns only variable costs.

B. Absorption costing is used for internal decision-making, while variable costing is used for financial reporting.

C. Absorption costing provides a more accurate picture of product costs, while variable costing provides a better measure of profitability.

D. Absorption costing is used for long-term planning, while variable costing is used for short-term decision-making.

ANSWER: A

In a merchandising business, which of the following represents the primary source of revenue?

A. Investments

B. Sales of goods

C. Service fees

D. Interest income

ANSWER: B

Company A sells a portion of its interest in a joint venture to company B. How should this

transaction be accounted for under the equity method?

A. Record a gain or loss on the sale and adjust the investment account

B. Recognize the transaction as revenue in the income statement

C. No accounting treatment is required for the sale of the interest

D. Record the transaction as an extraordinary item in the financial statements

ANSWER: A

In accounting for a branch operation, how are revenues and expenses typically treated?

A. Included in the main entity's financial statements

B. Accounted for separately from the main entity

C. Ignored in the financial statements

D. Treated as extraordinary items

ANSWER: A

How are intercompany transactions between the main entity and its branch usually accounted?

A. Ignored in the financial statements

B. Recorded as revenue for the branch

C. Eliminated in consolidation

D. Recorded as an extraordinary item.

ANSWER: C

In a sales agency arrangement, who typically has control over decision-making and operations?

- A. The main entity
- B. The sales agency
- C. Both entities share control
- D. Independent third parties

ANSWER: B

In the context of branch and home office accounting, what does “consolidation” refers to?

- A. Combining the financial statements of the branch and home office.
- B. Eliminating intercompany transactions in the financial statements.

C. Recognizing the branch's equity separately in the consolidated financial statements.

D. Ignoring the financial statements of the branch in the consolidation process.

ANSWER: A

When preparing consolidated financial statements, what does eliminating intercompany transactions involve?

A. Recognizing intercompany transactions as revenue.

B. Adjusting the financial statements to remove transactions between the branch and home office.

C. Ignoring the impact of intercompany transactions.

D. Treating intercompany transactions as extraordinary items

ANSWER: B

Which method of business combination involves the creation of a new entity to which the combining companies transfer their net assets?

A. Merger

B. Consolidation

C. Amalgamation

D. Purchase method

ANSWER: A

In a statutory merger, what happens to the combining companies?

A. They continue to exist as separate legal entities

B. They dissolve, and a new entity is formed

C. They become subsidiaries of a new parent company

D. They enter into a joint venture agreement

ANSWER: B

In a leveraged buyout (LBO), how is the acquisition financed?

A. Through stock issuance

B. With funds borrowed against the target company's assets

C. Through government grants

D. By issuing bonds

ANSWER: B

Which accounting standard provides guidance on business combinations?

A. IFRS 9

B. IFRS 3

C. IAS 16

D. IAS 38

ANSWER: B

In a hostile takeover, how does the acquiring company gain control of the target company?

A. Through negotiation and agreement

B. By purchasing a majority of the target company's stock without its approval

C. By forming a joint venture

D. Through a court order

ANSWER: B

What is the primary reason for recognizing deferred tax liabilities and assets?

- A. To minimize current income tax payable
- B. To smooth out fluctuations in income tax expense
- C. To comply with tax regulations
- D. To adjust financial statements to tax accounting.

ANSWER: B

Deferred tax liabilities are recognized when:

- A. Taxable income exceeds book income
- B. Tax expense is greater than book income
- C. Tax rates decrease

D. Tax expense is less than book income

ANSWER: B

Which of the following situations would prompt an adjustment under the LCNRV method?

A. When market value exceeds historical cost.

B. When there is a decrease in demand for the product.

C. When there is an increase in production costs.

D. When there is a seasonal fluctuation in sales.

ANSWER: A

What is the main drawback of using the LCNRV method for inventory valuation?

A. It may lead to overstatement of inventory value.

B. It requires frequent adjustments and re-evaluations.

C. It is not compliant with international accounting standards.

D. It is only suitable for companies with low inventory turnover.

ANSWER: B

Identify the wrong statement

A. Taxation has insignificant effect on consumption and employment pattern

B. Taxes are compulsory payments to the government

C. Tax imposes duty of payment on person who is liable to it

D. Tax receipts are commonly used for the production of public goods

ANSWER: A

One of the following is not true about category “C” tax payers

A. The payment of such tax is made with one month

B. They are expected to maintain all Book account

C. A standard assessment method is used to determine the income tax liability

D. Their annual turnover is less than 500,000 birr per annum.

ANSWER: B

Which of the following is not true about similarity of public and private finance?

A. Both the private and public finance have the same objective, viz, the satisfaction of human wants

B. Both private and public finance aim at maximum satisfaction.

C. Both public and private finance aims at individual benefit

D. Both the individual and Government face the problem of economic choice.

ANSWER: C

Which of the following not among revenues assigned to the state/reginal governments of Ethiopia?

A. Customs duties, taxes and other charges levied on the importation and exportation of goods.

B. profit and sales taxes collected from individual traders operating within state territories

C. Income taxes collected from employees of the States/regional government and of private enterprises

D. Taxes collected from rent of houses and State/regional government owned properties

ANSWER: A

In the payment of tax, there is no direct quid proquo to the taxpayers is:-

- A. Common Interest
- B. Legal Collection
- C. Benefit is not the Basic Condition
- D. Tax is a Compulsory Contribution

ANSWER: C

A government objectives of taxation is that ensuring to economic stability of the country by:

- A. Providing essential goods to the society
- B. Imposing low tax rate at inflation time
- C. Exemptions tax from exported product
- D. Imposing high tax rate at inflation time

ANSWER: D

Which one of the following of taxing system is imposed on the movement of goods through a political border?

- A. Consumption Taxes
- B. Customs Duties Tax
- C. Foreign Trade Taxes
- D. Stamp Duties Tax

ANSWER: B

According to Modigliani and Miller's Proposition I without taxes, how is the value of a leveraged firm related to its capital structure?

- A. The value of the leveraged firm increases with the use of debt.

B. The value of the leveraged firm decreases with the use of debt.

C. The value of the leveraged firm is independent of its capital structure.

D. The value of the leveraged firm is maximized when there is no debt.

ANSWER: C

According to Modigliani and Miller's Proposition I with taxes, how does the value of a leveraged firm compare to the value of an unleveraged firm?

A. The leveraged firm is valued higher due to the tax shield on interest payments.

B. The leveraged firm is valued lower due to the tax shield on interest payments.

C. The leveraged and unleveraged firms have the same value.

D. The leveraged firm is valued higher, but taxes do not play a role.

ANSWER: A

Modigliani and Miller's Proposition II with taxes suggests that the cost of equity

A. Decreases with the use of debt.

B. Increases with the use of debt.

C. Remains constant regardless of the capital structure.

D. Is not affected by taxes.

ANSWER: A

In Modigliani and Miller's Proposition I without taxes, the cost of equity is assumed to:

- A. Increase with the use of debt.
- B. Decrease with the use of debt.
- C. Remain constant regardless of the capital structure.
- D. Be irrelevant in determining the firm's value.

ANSWER: C

What does Modigliani and Miller's Proposition II without taxes state about the relationship between the cost of equity and the use of debt.

- A. The cost of equity increases linearly with the use of debt
- B. The cost of equity decreases linearly with the use of debt

C. The cost of equity is independent of the use of debt

D. The cost of equity is inversely proportional to the use of debt

ANSWER: C

What is the primary source of business risk for a company?

A. Financial leverage

B. Interest rate fluctuations

C. Changes in market demand

D. Currency exchange rates.

ANSWER: C

How is the Net Realizable value (NRV) calculated for inventory?

A. Cost - Market Value

B. Selling Price - Selling Costs

C. Cost - Estimated Selling Price

D. Market Value - Selling Costs

ANSWER: C

In the context of LCNRV, when is the write-down of inventory necessary?

A. When the historical cost exceeds the replacement cost

B. When the estimated selling price is less than the original cost

C. When the market value is higher than the selling price

D. When the historical cost is lower than the net realizable value

ANSWER: B

Which of the following is the main purpose of applying LCNRV to inventory?

- A. Maximize reported profit
- B. Minimize tax liability
- C. Maintain historical cost accuracy
- D. Ensure inventory is fairly presented on the balance sheet

ANSWER: D

How is goodwill calculated in a business combination?

- A. it is the excess of the fair value of consideration transferred over the fair value of the identifiable net assets acquired

B. it is the difference between the historical cost of the target company and the fair value of consideration transferred

C. it is the difference between the market value of the acquiring company's shares and the market value of the target company's shares

D. it is the amount paid by the acquiring company to the target company's shareholders.

ANSWER: A

What is a common defense mechanism used by target companies to resist hostile takeovers?

A. poison pill

B. white knight

C. golden parachute

D. crown jewel.

ANSWER: A

Company A, based in the United States, purchases inventory from a supplier in Europe for €100,000. The exchange rate at the time of purchase is 1 EUR = 1.2 USD. Subsequently, when the payment is made, the exchange rate has changed to 1 EUR = 1.3 USD. What amount should company a record as the cost of inventory in USD?

A. \$100,000

B. \$120,000

C. \$130,000

D. \$108,333.33.

ANSWER: B

In a computerized accounting system, what is the purpose of backup?

- A. To prevent unauthorized access to financial data
- B. To reduce the risk of data loss
- C. To automate the reconciliation process
- D. To generate financial reports

ANSWER: B

What is the primary focus of CVP (Cost-Volume-Profit) analysis?

- A. Sales revenue
- B. Cost behavior
- C. Breakeven point
- D. Profitability

ANSWER: C

What is the formula for total cost in CVP analysis?

A. Total cost = fixed cost + variable cost per unit

B. Total cost = fixed cost / contribution margin per unit

C. Total cost = variable cost per unit / contribution margin per unit

D. Total cost = contribution margin per unit / variable cost per unit

ANSWER: A

What is the formula for breakeven point in units?

A. Breakeven point in units = fixed costs / contribution margin per unit

B. Breakeven point in units = sales revenue / variable cost per unit

C. Breakeven point in units = variable costs / contribution margin per unit

D. Breakeven point in units = contribution margin per unit / variable cost per unit

ANSWER: A

Which of the following is an example of indirect financing?

A. an SSU purchasing a financial claim from a commercial bank

B. an SSU purchasing a financial claim from an underwriter

C. an SSU purchasing a financial claim from a DSU

D. an SSU purchasing a financial claim from a dealer

ANSWER: A

Which of the following is not a characteristic of money market instruments?

A. low default risk

B. short-term to maturity

C. high marketability

D. small denomination

ANSWER: D

To increase the money supply immediately, the government would most likely

A. Lower the Discount Rate

- B. Lower reserve requirements
- C. Buy securities on the open market
- D. Issues a treasury bond

ANSWER: C

Deficit spending units (DSU) are represented in loanable funds theory as

- A. demanders of loanable funds.
- B. suppliers of loanable funds.
- C. DSUs are not represented in the loanable funds theory of interest rate determination.
- D. demanders of financial claims.

ANSWER: A

Which of the following is the best alternative for small investors to invest in a money market?

- A. locally; their credit union
- B. indirectly; negotiable CDs
- C. directly; commercial paper
- D. indirectly; money market mutual funds

ANSWER: D

Which of the following money market instruments would typically be used in international transactions?

- A. treasury bill
- B. commercial paper
- C. banker's acceptance
- D. negotiable CD

ANSWER: C

The purchase of one million dollars of Treasury Bonds, delivered in 60 days, from a government securities dealer is:

- A. a call option
- B. a forward contract
- C. a swap
- D. a put

ANSWER: B

ABC Inc. purchased land and building from XYZ Corporation for a cash payment of Br. 480,000. The estimated fair values of the assets are land Br. 220,000, and building Br. 280,000. At what amounts should each of the assets be recorded respectively?

- A. Br. 240,000, Br. 240,000

B. Br. 220,000, Br. 280,000

C. Br. 480,000, Br. 480,000

D. Br. 211,200, Br. 268,800

ANSWER: D

The three types of business entities are:

A. Proprietorships, small businesses, and partnerships.

B. Proprietorships, partnerships, and corporations.

C. Proprietorships, partnerships, and large businesses.

D. Financial, manufacturing, and service companies.

ANSWER: B

Which of the following statement is incorrect according to Modigliani and Miller's Approach?

A. Under a perfect market condition, the dividend policy of the company is irrelevant

B. The value of the firm depends on how this income is split between dividends and retained earnings.

C. Investors don't care about payout.

D. There is no relation between the dividend rate and value of the firm.

ANSWER: B

Which of the following statement is not an assumption of Walters' model of dividend theory?

A. The firm finances its entire investments by means of retained earnings only.

B. The firm uses either debt or equity for financing its investment

C. Internal rate of return (R) and cost of capital (K) of the firm remains constant.

D. The firms' earnings are either distributed as dividends or reinvested internally.

ANSWER: B

In which of the following condition a corporation may pay a dividend?

A. When the firm's liabilities exceed its assets

B. When the amount of the dividend exceeds the accumulated profits (retained earnings)

C. When the dividend is being paid from capital invested in the firm

D. When the government gives tax incentives

ANSWER: D

Which of the following statement is incorrect about stock split?

A. When a firm conducts a stock split, its stock's per-share par value declines

B. Stock splits affect firms' shares similar to stock dividend effects

C. A stock split has effect on the firm's capital structure

D. Stock splits increases the number of shares outstanding

ANSWER: C

AcFn 2018 1st round model exit exam

1. Which of the following statements about an account is true?

A. Whether an increase or decrease is recorded as a debit or a credit depends on the type of account (asset, liability, or equity).

B. The left side of an account is the credit or decrease side

C. The right side of an account is the debit or increase side.

D. There are separate accounts for specific assets but only one account for liabilities

2. ABC Company's unadjusted trial balance shows Accounts Receivable of Birr 520,000. At year-end, an aging analysis of accounts

receivable indicates that the Allowance for Doubtful Accounts should have a balance of Birr 92,400. Before adjustment, the Allowance for Doubtful Accounts has a debit balance of Birr 12,600. What amount of bad debt expense should ABC Company report for the year?

- A. Birr 92,400
- B. Birr 105,000
- C. Birr 79,800
- D. Birr 415,000

3. What are the two main components of the equity section in Balance sheet?

- A. share capital and liabilities.
- B. Net income and dividends.
- C. share capital and retained earnings.

D. Revenues and Expenses

4. If a company's retained earnings decrease from the beginning to the end of the year, it means:

A. Net income is less than dividends paid.

B. Total Liability is greater than total assets.

C. The company issued additional shares.

D. Net income is greater than dividends paid.

5. A Debit may show a(n):

A. Decrease in an asset account

B. Decrease in a liability account

C. Increase in a Revenue account

D. Increase in the Retained earnings account

6. When recording an adjusting entry for a deferred revenue, which of the following will occur?

- A. A decrease (credit) to an asset account
- B. A decrease (credit) to an expense account
- C. An increase (credit) to a liability account
- D. An increase (credit) to a revenue account

7. During 2024, ABC Company's assets Increased \$40,000 and its liabilities decreased \$40,000. Its equity therefore:

- A. Decreased \$80,000
- B. Increased \$ 40,000
- C. No change in equity

D. Increased \$ 80,000

8. Net Loss will result during a time period when:

A. Liabilities exceed assets.

B. Dividend and expenses exceed revenues.

C. Expenses exceed revenues.

D. Revenues exceed expenses

9. ABC Inc. issued ordinary shares and received ETB 2,000,000. This transaction will result in:

A. An increase in Cash and an increase in Retained Earnings by ETB 2,000,000

B. An increase in Cash and an increase in Share Capital by ETB 2,000,000

C. An increase in Service Revenue and an increase in Share Capital by ETB 2,000,000

D. An increase in Service Revenue and an increase in Cash by ETB 2,000,000

10. Which of the following is NOT a fundamental characteristic of a corporation?

A. The company has an unlimited life

B. The company is a separate legal entity from its shareholders

C. Shareholders have unlimited liability

D. Ownership is divided into transferable shares

11. Which of the following accounts is considered a temporary account?

A. Cash

B. Retained Earnings

C. Unearned service revenue

D. Service Revenue

12. The post-closing trial balance contains:

A. All ledger accounts

B. Only temporary accounts

C. Only permanent accounts

D. Only income statement accounts

13. Which of the following is NOT a criterion for an item to be reported as cash?

A. It must be used as a medium of exchange

B. It must be available for immediate payment of obligations

C. It must earn interest

D. It must be free from contractual restrictions

14. Which of the following items is included in cash?

- A. Postdated checks
- B. NSF (Not Sufficient Fund) checks
- C. Bank drafts
- D. Postage stamps

15. Which of the following is an example of independent internal verification?

- A. Locking cash in a safe
- B. Requiring employee vacations
- C. Bank reconciliation
- D. Using prenumbered documents

16. Assigning responsibility to one specific employee for a task illustrates which principle of internal control?

- A. Segregation of duties
- B. Establishment of responsibility
- C. Independent internal verification
- D. Physical controls

17. A Credit balance in the Cash Over and Short account is reported as:

A. Miscellaneous revenue

- B. Operating Expense
- C. Miscellaneous expense
- D. Cost of sales

18. A voucher system is best described as:

A. A record of cash receipts

B. A network of approvals for cash disbursements

- C. A substitute for bank reconciliation
- D. A petty cash control device

19. Which measurement approach states that plant assets whose fair value can be measured reliably are carried after acquisition at their fair value, less any subsequent accumulated depreciation and impairment losses?

A. Historical cost model

B. Revaluation model

C. Recoverable amount model

D. Replacement cost model

20. Which item is added to the balance per bank during bank reconciliation?

A. Outstanding checks

B. NSF checks

C. Deposits in transit

D. Errors made by the company

21. Writing off an uncollectible account under the allowance method:

- A. Increases bad debt expense
- B. Affects only income statement accounts
- C. Reduces both Accounts Receivable and Allowance
- D. Reduces cash realizable value

22. At maturity, a note receivable that has been “honored” means that:

- A. The maker has defaulted on payment
- B. There is still interest to be collected
- C. The maker has paid the full amount due
- D. The note has been transferred to Accounts Payable

23. If a note receivable is dishonored at maturity and eventual collection is expected, the company should:

A. Record interest revenue and leave the note receivable open

B. Transfer the note and interest due to Accounts Receivable

C. Write off the note and record Bad Debt Expense

D. Record a cash receipt

24. Which valuation technique converts future cash flows into a single present value?

A. Market approach

B. Cost approach

C. Income approach

D. Replacement cost approach

25. Under IFRS 13, Observable inputs are inputs that:

- A. Are internally generated assumptions
- B. Are based on management judgment only
- C. Use market data available to the public
- D. Are never used in fair value measurement

26. An asset is considered impaired when:

- A. Its market value declines
- B. Its carrying amount exceeds its recoverable amount
- C. It is fully depreciated
- D. It generates negative cash flows

27. Which of the following is an internal indicator of impairment?

- A. Increase in market interest rates
- B. Adverse changes in the economy

- C. Evidence of physical damage to an asset
- D. Decline in asset demand

28. When an impairment loss is recognized for an asset carried at cost, it shall be:

- A. Credited to revaluation surplus
- B. Recognized in profit or loss**
- C. Deferred to future periods
- D. Ignored if temporary

29. Goods shipped f.o.b. destination are included in buyer's inventory when:

- A. Shipped by the seller
- B. Delivered to the common carrier
- C. Received by the buyer
- D. Invoiced by the seller

30. Financial information is considered relevant if it:

A. Is free from bias

B. Can be verified by auditors

C. Has predictive or confirmatory value

D. Is presented consistently over time

31. Which measurement basis uses the amount of cash paid to acquire an asset?

A. Fair value

B. Current cost

C. Historical cost

D. Present value

32. A quoted price for a similar asset in an active market, adjusted for differences, is classified as:

A. Level 1 input

B. Level 2 input

C. Level 3 input

D. Historical cost

33. Under IFRS, when inventory cost exceeds NRV, the inventory should be:

A. Reported at cost

B. Reported at NRV and the loss recognized in profit or loss

C. Deferred to future periods

D. Revalued upward in equity

34. The gross profit method is most appropriate when:

A. Inventory turnover is high

B. Goods are sold on credit

C. Inventory records are destroyed by fire

D. Market prices fluctuate

35. Under the retail inventory method, ending inventory at retail is calculated by:

A. Sales minus purchases

B. Goods available for sale at retail minus sales

C. Beginning inventory plus sales

D. Purchases minus cost of goods sold

36. Investment property is best defined as property:

A. Held for use in production or administrative purposes

B. Held for sale in the ordinary course of business

C. Held to earn rentals, for capital appreciation, or both

D. Used for employee accommodation

37. An intangible asset is best defined as:

A. A monetary asset without physical substance

B. A non-monetary identifiable asset without physical substance

C. Any long-term asset without physical form

D. A legal right recognized at fair value

38. A deductible temporary difference gives rise to:

A. Deferred tax liability

B. Deferred tax asset

C. Current tax payable

D. Permanent tax saving

39. share-based payment transactions are those in which an entity:

- A. Issues shares only for cash
- B. Acquires goods or services by incurring liabilities
- C. Receives goods or services in exchange for equity instruments or cash based on share price
- D. Pays dividends to shareholders

40. Equity-settled share-based payments are measured at:

- A. Fair value of the equity instruments granted at grant date
- B. Fair value at vesting date
- C. Fair value at settlement date
- D. Nominal value of shares

41. For equity-settled share-based payments, changes in fair value after grant date are:

- A. Recognized in profit or loss
- B. Recognized in equity
- C. Ignored
- D. Recognized as liabilities

42. Cash-settled share-based payments are measured initially and subsequently at:

- A. Grant-date fair value
- B. Nominal value
- C. Fair value at each reporting date
- D. Historical cost

43. Which of the following features is not typical of for-profit businesses?

A. Operating purposes that are other than providing goods or services at a profit or profit equivalent

B. Fund providers expect an economic return on the funds they provide

C. They do not operate in a competitive marketplace

D. There is a defined ownership interest that entitles owners to a share of residual distributions

44. Which of the following is primarily responsible for the fairness of the presentations made in the financial statements?

A. The client's management

B. The independent auditor

- C. The audit committee
- D. The board of directors

45. An audit designed to detect violations of laws and regulations would be referred to a

- A. Financial statement audit
- B. Compliance audit**
- C. Performance audit
- D. Operational audit

46. What is the essence of external audit function?

- A. To detect frauds and errors
- B. To examine individual transactions so that the auditor may certify their Validity
- C. To determine whether the client's financial statements are fairly stated.**

D. To assure the consistent application of correct accounting procedures.

47. Who makes the ultimate decision as to whether or not auditors maintain an appearance of independence from their audit clients?

- A. Auditors
- B. Client
- C. audit committee
- D. public

48. Who is primarily responsible for the fair presentation of the financial statement?

- A. The auditor
- B. The client
- C. The board of directors
- D. The shareholders

49. While performing an audit, an auditor strives to achieve independence in appearance in order to:

- A. reduce risk and liability
- B. become independent in fact
- C. maintain public confidence in the profession
- D. Comply with generally accepted standards of field work.

50. The risk that the auditors' own work will lead to the decision that material misstatement do not exist in the financial statements, when, in fact such misstatement do exist is:

- A. Audit risk
- B. Detection risk

C. Inherent risk

D. Control risk

51. A detailed written plan of the audit work to be performed by the auditor, and specifying the procedures that are designed to gather evidence is known as:

A. Audit procedure

B. Audit engagement

C. Audit evidence

D. Audit program

52. The part of audit risk which arises due to the inefficiency of internal control is?

A. Detection risk

B. Control risk

C. Inherent risk

D. material risk

53. Audit evidence can come in different forms with different degrees of persuasiveness. Which of the following is the least reliable type of evidence?

A. Supplier's invoice

B. Bank statement

C. Computations made by auditor

D. Accounting records of the client

54. An auditor's responsibility to express opinion on the financial statements is represented in the:

A. Introductory paragraph

B. Scope paragraph

C. Opinion paragraph

D. explanatory paragraph

55. Under which of the following circumstances might an auditor provide disclaimer opinion?

- A. When the financial statement contain a departure from GAAP
- B. When there are significant uncertainties affecting the financial statements
- C. When the principal auditor decides to make reference to the reports of another auditor who audited a subsidiary.
- D. When there has been a material change between periods in the

method of application of
accounting principles

56. Under IAS 41, biological assets are generally measured at:

- A. Historical cost less depreciation
- B. Cost or net realizable value, whichever is lower
- C. Fair value less costs to sell
- D. Recoverable amount

57. A gain arising from the initial recognition of a biological asset is reported:

- A. As deferred income
- B. In other comprehensive income
- C. In profit or loss
- D. Directly in equity

58. Which of the following is TRUE regarding bearer plants under IFRS?

- A. They are accounted for under IAS 41
- B. They are consumable biological assets
- C. They are accounted for under IAS 16
- D. They are measured at net realizable value

59. The contractual service margin (CSM) under insurance contract is best described as:

- A. Expected claims liability
- B. Unearned profit recognized over coverage period
- C. Present value of future cash inflows
- D. Risk premium charged to policyholders

60. Under Insurance contract, which of the following events results in immediate recognition of losses in profit or loss?

- A. Increase in discount rates
- B. Contracts becoming onerous
- C. Reduction in claims estimates
- D. Increase in CSM

61. Cash flows from investing activities include:

- A. Payment of salaries
- B. Purchase of property, plant, and equipment
- C. Payment of dividends
- D. Collection from debtors

62. which item is added back to net Income under the indirect method of preparing cash flows?

- A. Increase in inventory
- B. Depreciation expense
- C. Decrease in payables
- D. Gain on sale of asset

63. An increase in accounts receivable during the year will:

- A. Increase operating cash flow
- B. Have no effect on cash flow
- C. Decrease operating cash flow
- D. Increase financing cash flow

64. The primary objective of cost accounting is to:

- A. Prepare financial statements for external users
- B. Determine profit at the end of the year
- C. Ascertain and control the cost of products and services
- D. Comply with legal reporting requirements

65. Management accounting differs from financial accounting in that it:

- A. Is governed by strict rules and regulations
- B. Relies solely on historical financial data
- C. Primarily supports internal planning and decision-making
- D. Excludes non-financial information

66. Curvilinear cost behavior implies that:

- A. Costs change at a constant rate

B. Costs increase or decrease at a changing rate

C. Costs are fixed

D. Costs are irrelevant

67. Sunk costs are costs that:

A. Are relevant for decision-making

B. Will be incurred in the future

C. Have already been incurred and cannot be changed

D. Can be avoided

68. Fixed costs are costs that:

A. Change proportionately with output

B. Remain constant per unit

C. Remain constant in total within a relevant range

D. Are controllable in the short run

69. Job order costing is most appropriate when:

A. Products are homogeneous and produced continuously

B. Production is carried out against specific customer orders

C. Costs are accumulated by process

D. Output is measured in large identical units

70. Under job ordering costing, the issue of direct materials to production is recorded by:

A. Debiting Factory Overhead and crediting Raw Materials

B. Debiting Work in Process and crediting Raw Materials

C. Debiting Finished Goods and crediting Raw Materials

D. Debiting Raw Materials and crediting
Accounts payable

71. Applied factory overhead costs are
recorded by:

A. Debiting Work in Process

B. Debiting Factory Overhead

C. Debiting Finished Goods

D. Debiting Cost of Goods Sold

72. Over-applied factory overhead occurs
when:

A. The actual factory overhead cost is
greater than the overhead applied to
production

B. The overhead applied to production is
greater than the actual factory overhead
incurred

C. Factory overhead is not charged to production

D. Total factory overhead cost is nil

73. Under the FIFO method of process costing, equivalent units of production exclude:

A. Units started and completed during the current period

B. Beginning work in process completed this period

C. Work performed in prior periods

D. Units in ending work in process

74. Process costing is most appropriate when:

A. Products are custom-made

B. Production is continuous and units are homogeneous

C. Each job is separately identifiable

D. Costs are accumulated per customer

75. Support department costs allocated based on reciprocal method:

A. Ignore mutual services between support departments

B. Fully account for mutual services between support departments

C. Allocates support costs only to production departments

D. Allocates costs equally to all departments

76. Joint costs are:

A. Costs incurred after split-off

B. Costs that can be directly traced to a single product

C. Costs incurred up to the split-off point that cannot be traced to individual products

D. Always variable costs

77. Further processing decisions should be based on:

A. Total joint cost allocated to products

B. Incremental revenue minus incremental cost after split-off

C. Physical quantity only

D. By-product revenue only

78. The physical units method allocates joint costs based on:

A. Market value of each product

B. Weight, volume, or number of units of each product

C. NRV after further processing

D. Only by-product revenue

79. What is the primary objective of financial management?

A. Minimize costs only

B. Maximize shareholder wealth

C. Maximize profit

D. Reduce debt

80. Which of the following best describes financing decisions in financial management?

A. Purchasing fixed assets

B. Raising funds through debt or equity

C. Allocation of funds to long-term assets and projects

D. Planning marketing campaigns

81. Price-to-earnings (P/E) ratio indicates:

- A. Liquidity of the company
- B. Market's assessment of expected earnings growth
- C. Debt-paying ability
- D. Total asset efficiency

82. The key difference between an ordinary annuity and an annuity due is:

- A. Payments for an ordinary annuity are at the end of each period; for an annuity due, at the beginning.
- B. Payments for an ordinary annuity are at the beginning of each period; for an annuity due, at the end of each period
- C. Present value of an annuity due is always smaller
- D. There is no difference

83. A perpetuity is:

- A. An annuity paid for a fixed number of periods
- B. A series of equal cash flows that continue forever
- C. A deferred annuity for a fixed number of periods
- D. A single payment.

84. Capital markets are financial markets that primarily deal with which type of instruments?

- A. Short-term debt and derivative instruments
- B. Long-term debt and equity instruments
- C. Cash equivalents
- D. Equity instruments and derivatives

85. Which of the following best describes systematic risk?

A. Risk that can be eliminated through diversification

B. Market risk that affects all assets and cannot be diversified away

C. Risk specific to an individual company or industry

D. Risk that is zero in all efficient portfolios

86. A point below the Security Market Line indicates:

A. Overpriced asset

B. Underpriced asset

C. Risk-free asset

D. Zero beta asset

87. The cost of new common stock is usually:

- A. Lower than retained earnings
- B. Equal to cost of debt
- C. Higher than retained earnings due to flotation costs
- D. Risk-free

88. Using the Capital Asset Pricing Model (CAPM), if the risk-free rate is 6%, the expected market return is 14%, and the beta of the stock is 1.5, what is the cost of equity?

- A. 12%
- B. 14%
- C. 18%
- D. 20%

89. When evaluating mutually exclusive capital investment projects, which decision rule is considered the most reliable?

- A. Payback Period
- B. Accounting Rate of Return
- C. Net Present Value (NPV)
- D. Discounted Payback Period

90. Fiduciary funds are best described as funds that:

- A. Support government operations
- B. Account for resources held in trust for others
- C. Finance capital projects
- D. Are funded by user charges

91. Which basis of accounting is primarily applied in accounting for proprietary funds in governmental entities?

- A. Cash basis of accounting
- B. Modified accrual basis
- C. Full accrual basis
- D. Commitment basis

92. Which of the following topics is specifically addressed by IPSAS 21?

- A. Impairment of non-cash-generating assets
- B. Impairment of cash-generating assets
- C. Revenue recognition
- D. Presentation of the budget

93. The primary role of the financial system in an economy is to:

- A. Control inflation
- B. Facilitate the transfer of funds from surplus units to deficit units
- C. Regulate government spending
- D. Eliminate business risk

93. The indirect flow of funds in the financial system occurs when:

- A. Firms borrow directly from households
- B. Governments issue treasury bills
- C. Financial intermediaries stand between savers and borrowers
- D. Securities are traded in secondary markets

94. Which of the following is classified as a non-depository financial institution?

- A. Credit union

B. Commercial bank

C. Insurance company

D. Savings bank

95. Liquidity risk refers to the possibility that a financial institution:

A. Will face insolvency

B. Cannot meet short-term obligations

C. Will incur exchange losses

D. Will lose market share

96. The real interest rate is best defined as:

A. Nominal rate minus expected inflation

B. Nominal rate plus expected inflation

C. Central bank rate

D. Treasury bill rate

97. The theory that explains the relationship between interest rates and time to maturity is the:

- A. Liquidity preference theory
- B. Loanable funds theory
- C. Term structure of interest rates
- D. Risk structure of interest rates

98. Which of the following instruments is traded in the money market?

- A. Ordinary shares
- B. Corporate bonds
- C. Treasury bills
- D. Preference shares

99. Shareholders primarily earn returns through:

- A. Fixed interest payments

B. Dividends and appreciation in share value

C. Fixed interest payments and appreciation in share value

D. Dividends and Fixed interest payments

100. One major purpose of financial market regulation is to:

A. Eliminate competition

B. Protect investors and depositors

C. Increase transaction costs

D. Restrict capital formation

101. Derivative markets are primarily used for:

A. Long-term investment only

B. Risk management and hedging

C. Tax collection

D. Price fixing

Accounting and Finance Multiple Choice

Questions for Model Exit Exam (2016 EC)

1. Which of the following is/are true about external auditors

A. They are independent contractors by many different companies

B. They mostly perform operational audit

C. They mostly perform financial statement audit

D. A & C are answers

Answer: D

2. Which of the following is incorrect about operational audit?

A. Examines the use of resources used in the most efficient and effective manner.

B. Their scopes are similar to that of internal auditors

C. Their scopes are similar to that of external auditors

D. None

Answer: C

3. Which one of the following is/ are not true about auditors

A. Its objective is certifying the correctness of financial statements

B. Auditors must have the knowledge of both accounting and auditing

C. They reports an audit reports in conformity with generally accepted audit standards

D. None

Answer: D

4. Which of the following is/ are the need of auditing?

A. Conflict of interest

C.

Complexity

B. Regulatory requirement

D.

All

Answer: D

5. Which one of the following is/ are the importance of auditing?

A. It serves as a controlling tool

B. Increase credibility of financial statements

C. Enhance efficient utilization of resources

D. All

Answer: D

6. _____ Are unethical act may be totally aware that what they did was wrong, but try to cover themselves up or protect themselves from others realizing the truth.

A. Embezzlement

C. Rationalization

B. Bribery

D. Nepotism

Answer: C

7. _____ are ideal standards of ethical conduct in philosophical terms

A. Principles

C. Ethical ruling

B. Rules of conduct

D. None

Answer: A

8. _____ are relates to accumulating and evaluating evidence sufficient for auditors to express an opinion on the financial statements

A. General standard

C. Reporting

standard

B. Field work standard

D. All

Answer: B

9. What type of audit report is expected to report by auditor, if the audit result is complete and satisfactory, but the auditor believes it is important or is required to provide additional information?

A. Standard Unqualified

C.

Qualified

B. Unqualified with Explanatory Paragraph

D. Adverse or disclaimer

Answer: B

10. Which audit report is recommended to issue by auditor if there is highly material misstated?

A. Standard Unqualified

C. Qualified

B. Unqualified with Explanatory Paragraph

D. Adverse or disclaimer

Answer: D

11. Which of the following is not one of the three primary objectives of effective internal control?

A) Reliability of financial reporting

C) Compliance with laws and regulations

B) Efficiency and effectiveness of operations

D) Assurance of elimination of business risk

Answer: A

12. Which of management's assertions with respect to implementing internal controls is the auditor primarily concerned?

A) Efficiency of operations C)

Effectiveness of operations

B) Reliability of financial reporting D)

Compliance with applicable laws and regulations

Answer: B

13. Making inspection or counting of a tangible asset by the auditor to get evidence can be met using

A. Physical examination

C.

Documentation

B. Confirmation

D.

Analytical procedures

Answer: A

14. Which type of audit evidence gives more reliable evidence to make audit conclusion?

A. Confirmation

C.

Analytical procedures

B. Documentation

D. Inquiries

of the client

Answer: A

15. Sufficiency of evidence is measured primarily by:

A. audit procedures selected C.

Considering different population items

B. Sample size D. None

Answer: B

16. Which of the following is/are not the result of weak internal control?

A. Statutory Sanctions C.

High financial performance

B. Business interruption D.

None

Answer: C

17. Which of the following is/are not the responsibility of internal auditors?

- A. Establish and maintain control system
- C. Understand and test internal control
- B. Annually issue an audit report
- D. None

Answer: A

18. The COSO internal control components include the following except:

- A. Control environment
- C. Control activities
- B. Risk assessment
- D. None

Answer: D

19. Which of following is/are types of Control activities?

- A. Adequate separation of duties
- C. Adequate documents and records

B. Physical control over assets D. All

Answer: D

20. Which of the following is/are not indicators of good internal control practices?

A. Existence of code of conduct C.

Documented policies and procedures

B. Physical safeguarding of assets D.

Negative atmosphere in the work environment

Answer: D

21. The contribution margin always increases when the:

A. Break-even point increases.

B. Variable expenses decrease.

C. Break-even point decreases.

D. Variable expenses as a percentage of net sales increase.

Answer: B

22. Dire Company's sales are \$600,000, its fixed expenses are \$150,000, and its variable expenses are 40% of sales. Based on this information, the margin of safety percentage is:

- A. 41.6%
- B. 58.3%
- C. 37.5%
- D. 40%

Answer: B

23. If a company increases its selling price by \$10 per unit due to an increase in its variable labour cost of \$10 per unit, the break-even point in units will:

- A. Break-even point in units will Decrease.

- B. Break-even point in units will Increase.
- C. Break-even point in units remain unchanged.
- D. Break-even point in units will Change but direction cannot be determined.

Answer: C

24. Variable expenses for Kezira Company are 40% of sales. What are sales at the breakeven point, assuming that fixed expenses total \$150,000 per year:

- A. \$250,000
- B. \$375,000
- C. \$600,000
- D. \$150,000

Answer: A

25. When computing standard cost variances, the difference between actual and standard price multiplied by actual quantity a(n):

- A. Both price and quantity variance.
- B. Material Efficiency variance.
- C. Material Price variance.
- D. Material Quantity variance.

Answer: C

26. If the static budget revenue is 405,000 and the flexible budget revenue amount is 620,000, then the sales volume variance will be?

- A. 215,000F
- B. 315,000F
- C. 215,000U
- D. 315,000U

Answer: A

27. Bama Corp. is considering replacing an old machine with a new machine. Which of the following items is relevant to Bama's decision?

	<i>Book value of old machine</i>	<i>Disposal value of new machine</i>
A)	Yes	No
B)	No	Yes
C)	No	No
D)	Yes	Yes

Answer: B

28. In a make-or-buy decision, relevant costs include:

- A. unavoidable fixed costs
- B. avoidable fixed costs
- C. fixed factory overhead costs applied to products

D. fixed selling and administrative expenses

Answer: B

29. Product X-547 is one of the joint products in a joint manufacturing process. Management is studying whether to sell X-547 at the split-off point or to process X-547 further into Xylene. Which of the following are irrelevant in a decision of whether to sell the X-547 as it is or process it further into Xylene?

- A. Selling price of X-547
- B. Variable cost of processing X-547 into Xylene
- C. The selling price of Xylene.
- D. The joint cost of the process from which X-547 is produced.

Answer: D

30. Kezira Company produces and sells 8,000 units of Product X each year. Each unit of Product X sells for \$10 and has a contribution margin of \$6. It is estimated that if Product X is discontinued, \$50,000 of the \$60,000 in fixed costs charged to Product X could be eliminated. These data indicate that if Product X is discontinued, overall company net operating income should:

- A. increase by \$2,000 per year
- B. decrease by \$2,000 per year
- C. increase by \$38,000 per year
- D. decrease by \$38,000 per year

Answer: A

31. Which of the following is not one of the key areas with which the financial manager will be concerned with?

- A. Managing working capital
- B. Managing the quality of production
- C. Investment decisions
- D. Raising long term finance

Answer: B

32. Which of the following is not a function performed by financial intermediaries?

- A. Aggregation
- B. Money market deposits
- C. Diversification of risks
- D. Maturity transformation

Answer: B

33. The following have been calculated for a company

Receivables days: 64.5 days

Inventory turnover: 10 times
per year

Payables days: 52 days

What is the length of the operating cycle?

- A. 22.5 days
- B. 126.5 days
- C. 25 days
- D. 49 days

Answer: D

34. A company sells some inventory on credit at a profit. What effect will this have on the quick ratio and on the current ratio?

- A. Both ratios will decrease
- B. The quick ratio will increase; the current ratio will not change
- C. The current ratio will increase; the quick ratio will not change
- D. Both ratios will increase

Answer: D

35. It has been forecast that an investment will yield cash inflow of \$12,000 per annum in perpetuity. The cost of capital is 11%. What is the present value of the investment (to the nearest \$100)?

- A. 112,300

- B. 109,100
- C. 121,100
- D. 89,100

Answer: B

36. The following is an extract from XYZs statement of financial position:

\$million			
\$0.50	Ordinary	share	capital
200			
Retained earnings		500	
10% Loan notes		600	

The ordinary shares are quoted at \$2.00 per share and the loan notes are trading at \$95 p.c.

What is XYZs debt to equity ratio?

- A. 46.15%

- B. 85.71%
- C. 66.67%
- D. 81.43%

Answer: B

37. Shares in ABC Co. have a beta of 0.8. The market is giving a return of 15% and the risk free rate is 8%. What will be ABC's cost of equity?

- A. 12.6%
- B. 12.0%
- C. 13.6%
- D. 20.0%

Answer: C

38. Shares in XYZ Co. have a beta of 1.4. The equity risk premium is 9% and the risk free rate is 3%. What will be XYZ's cost of equity?

- A. 15.6%

- B. 11.4%
- C. 12.6%
- D. 9.0

Answer: A

39. On a market value basis, DEF Co. is financed 70% by equity and 30% by debt. The company has an after- tax cost of debt of 6% and the beta of share in DEF is 1.2. The risk-free rate of return is 4% and the equity risk premium is 5%. What is the after- tax weighted average cost of capital of DEF Co?

- A. 8.3%
- B. 7.2%
- C. 5.4%
- D. 8.8%

Answer: D

40. Which of the following is forbidden under the principle of Islamic Law?

- A. Lease finance
- B. Charging interest
- C. Trade credit
- D. Profit sharing

Answer: B

41. When preparing a statement of cash flows (indirect method), which of the following is not an adjustment to reconcile net income to net cash provided by operating activities?

- a. A change in dividends payable
- b. A change in income taxes payable
- c. A change in interest payable
- d. All of these are adjustments.

Answer: A

42. When preparing a statement of cash flows, a decrease in accounts receivable during a period would cause which one of the following adjustments in determining cash flow from operating activities?

	Direct	Indirect
	Method	Method
a.	Increase	Decrease

b. Decrease Increase

intangible assets. The following

c. Increase

Increase

except

a.

d. Decrease

Decrease

purchase price.

b.

legal fees.

c. other incidental expenses.

d. all of these are included.

Answer: D

44. Companies should test indefinite life intangible assets at least annually for:

a. recoverability.

b. impairment.

c. amortization.

d. estimated useful life

Answer: B

45. Agricultural produce is

a. Harvested from biological assets.

b. Valued at the time of harvest at its cost to produce.

c. Valued at each reporting period at its fair value less costs to sell.

- d. All of the choices are correct regarding agricultural produce.

Answer: A

46. Selected information from Junior Company's 2019 accounting records is as follows:

Proceeds from issuance of \$	
common stock	600,000
Proceeds from issuance of	1,800,000
bonds	
Cash dividends on common	240,000
stock paid	00
Cash dividends on preferred	90,000
stock paid	0
Purchases of treasury stock	180,000
Sale of stock to officers and	150,000

employees not included 00
above

Junior's statement of cash flows for the year ended December 31, 2019, would show net cash provided (used) by financing activities of

- a. \$90,000.
- b. \$(330,000).
- c. \$240,000.
- d. \$2,040,000.

Answer: D

47. Which of the following statements is correct?

- a. The indirect method starts with income before extraordinary items.
- b. The direct method is known as the reconciliation method.
- c. The direct method is more consistent with the primary purpose of the statement of cash flows.
- d. All of these.

48. Under the statement of cash flows, the cash flows from investing activities section should report

- a. the issuance of common stock in exchange for a factory building.
- b. stock dividends received.
- c. a major repair to machinery charged to accumulated depreciation.

d. the assignment of accounts receivable.

Answer: C

49. A statement of cash flows typically would not disclose the effects of

a. capital stock issued at an amount greater than par value.

b. cash dividends paid.

c. stock dividends declared.

d. a purchase and immediate retirement of treasury stock.

Answer: C

50. Which of the following disclosures is required for a change from sum-of-the-years-digits to straight-line?

- a. The cumulative effect on prior years, net of tax, in the current retained earnings statement.
- b. Re-computation of current and future years' depreciation
- c. Restatement of prior years' income statements
- d. All of these answer choices are required.

Answer: B

51. Which type of accounting change should always be accounted for in current and future periods?

- a. Change in accounting policy
- b. Change in reporting entity
- c. Change in accounting estimate
- d. Correction of an error

Answer: C

52. Which of the following is (are) the proper time period(s) to record the effects of a change in accounting estimate?

- a. Current period and prospectively
- b. Current period and retrospectively
- c. Retrospectively only
- d. Current period only

Answer: A

53. Situations in which net realizable value is used to value inventory include

- a. agricultural inventory.
- b. minerals and mineral products.
- c. commodities held by broker-traders.
- d. all of these.

Answer: D

54. Which of the following characteristics do intangible assets possess?

- a. Physical existence.
- b. Claim to a specific amount of cash in the future.
- c. Long-lived.
- d. Held for resale

Answer: C

55. Assume Meloa Corporation reported a taxable income of \$30,000 and taxable temporary difference of \$20,000 in 2002. The income tax rate has been 30%. What is balance of pretax financial income and deferred tax liability to be reported for the year 2002 respectively?

- A. \$50,000 & \$6,000
- C. \$20,000 & \$6,000

B. \$10,000 & \$6,000

D. \$30,000 & \$9,000

Answer: A

56. Which of the following is an example of a temporary difference?

A. Fine for air pollution

B. Percentage depletion in excess of cost depletion on a wasting asset

C. Interest on municipal bonds

D. Installment sales

Answer: C

57. In 2007 Swope Company reports a pretax operating loss of \$80,000 for both financial reporting and income tax purposes. Pretax financial income and taxable income for the

previous three years had been: 2004—\$14,000 (tax rate 20%); 2005—\$24,000 (tax rate 25%); and 2006—\$56,000 (tax rate 30%). The current tax rate is 30% and no change in the tax rate has been enacted for future years. At the end of 2007 the journal entry to be recorded would contain an income tax benefit due to an operating loss carry-back of:

- A. No entry at all
- C. \$16,800
- B. \$1,200
- D. \$22,800

Answer: D

58. In cases where the fair value of the cash alternative (liability component) is the same as

the fair value of the equity alternative; the fair value of the equity component becomes

A. Zero

C. Negative

B. Positive

D. None

Answer: A

59. What makes cash settled transaction different from equity settled transaction?

A. The credit entry is equity

C. No re-measurement of fair value

B. The credit entry is liability

D. Absence of present obligation

Answer: B

60. Which one of the following is included in the scope of IFRS 2 (share based payment)?

- A. Business combination
- C. Awards made by shareholders
- B. Commodity based derivative contract
- D. Counter parties act as shareholders

Answer: C

61. If the entity does not have a present obligation to settle in cash, the transaction is accounted for in accordance with the requirements of the standard applying to.

- A. Equity-settled transactions
- C. Compound instruments
- B. Cash-settled transactions
- D. Debt component

Answer: A

62. Entity has a present obligation to settle in cash if:

A. The entity is legally prohibited from issuing or buying shares.

B. The entity has a past practice of settling in cash.

C. The entity generally settles in cash whenever the counterparty asks for cash settlement.

D. All

Answer: D

63. IAS 41 (Accounting for Agriculture) Applies To:

A. Land associated with the agricultural activity

B. Any intangible asset associated with the agricultural activity

C. Agricultural produce at the point of harvest

D. Agricultural produce after the point of harvest

Answer: C

64. Taxable income (income for tax purposes) is a *tax accounting* term which prepared in accordance with

A. Internal Revenue Code (IRC)

B. Generally Accepted Accounting Standards (GAAP)

C. International Financial Reporting Standards (IFRS)

D. Security Exchange Commission (SEC)

Answer: A

65. Which one of the following is odd?

- A. Ocean fishing
- B. Harvesting biological assets from unmanaged sources
- C. Fish farming
- D. Managing animal-related recreational activities

Answer: C

66. The aggregate of current tax expense and deferred tax expense (or benefit) becomes

- A. Income tax expense
- C. Taxable temporary difference future taxable
- B. Income tax payable
- D. Deductible temporary difference

Answer: A

67. ----- is an agreement between the entity and another party, including an employee to enter into a share-based payment transaction.

- A. A 'share-based payment arrangement'
- C. Equity component
- B. A 'share-based payment transaction'
- D. Debt component

68. The deferred tax consequences of temporary future deductible amounts and operating loss carry-forwards.

- A. Deferred tax asset
- B. Deferred tax liability
- C. Permanent difference
- D. Temporary difference

Answer: A

69. A ----- is a difference between pretax financial income and taxable income in an accounting period that will reverse in a later period.

- A. Deferred tax asset
- B. Permanent difference
- C. Deferred tax liability
- D. Temporary difference

Answer: D

70. If the appropriate adjusting entry for accrued salaries is omitted at the end of a fiscal year:

- A.** assets for the period will be overstated
- B.** liabilities for the period will be understated
- C.** expenses for the period will be overstated

D. None

Answer: B

71. Which accounting principal states that an enterprise is expected to operate for an indefinite period of time?

A. Going concern

B. Revenue recognition

C. Matching principal

D. None

Answer: A

72. The receipt of cash from customers in payment of their accounts would be recorded by a:

A. Debit to Cash; credit to Accounts Receivable.

B. Debit to Accounts Receivable; credit to Cash

C. Debit to Cash; credit to Accounts Payable.

D. None

Answer: A

73. Which one is basic accounting principle?

A. $\text{Asset} = \text{Liability} + \text{Owners' equity}$

B. $\text{Asset} = \text{Owners equity} + \text{Liability}$

C. $\text{Liability} = \text{Asset} - \text{Owners equity}$

D. $\text{Owners' equity} = \text{Asset} - \text{Liability}$

Answer: A

74. If the supplies account, before adjustment on May 31, indicated a balance of Br2,250, and supplies on hand at May 31 totaled Br950, the adjusting entry would be:

A. Supplies, Br950; credit Supplies Expense, Br950.

B. Debit Supplies, Br1, 300; credit Supplies Expense, Br1, 300.

C. Debit Supplies Expense, Br950; credit Supplies, Br950.

D. Debit Supplies Expense, Br1, 300; credit Supplies, Br1,300.

Answer: D

75. Which of the following entries closes the owner's drawing account at the end of the period?

A. Debit the drawing account, credit the income summary account.

B. Debit the owner's capital account, credit the drawing account.

C. Debit the income summary account, credit the drawing account.

D. Debit the drawing account, credit the owner's capital account

Answer: B

76. A credit normal balance in which of the following accounts would indicate a likely error?

- A.** Fees Earned
- B.** Drawing
- C.** Capital
- D.** Accounts Payable

Answer: B

77. In closing expense accounts

- A.** Debit the income summary account and credit each expense account.
- B.** Credit the income summary account and debit each expense account.
- C.** Debit the income summary account and credit each Revenue account.
- D.** Debit the owners' equity account period and credit the drawing account.

Answer: B

78. Tina is famous for fashion wrist watches and leather goods. At the end of a recent year, Tina's total assets added up to \$363,000,000, and equity was \$228,000,000. How much were Tina's liabilities?

- A.** Cannot determine from the data given
- B.** \$135,000,000
- C.** \$363,000,000
- D.** \$228,000,000

Answer: B

79. The balance in the office supplies account on July 1 was Br3,200, supplies purchased during July were Br2,500, and the supplies on hand at July 31 were Br2,800. The amount to be used for the appropriate adjusting entry is:

- A.** Br3,500
- B.** Br2,800
- C.** Br3,200
- D.** Br2,900

Answer: D

80. A debit may signify a(n):

- A.** Decrease in asset accounts
- B.** Decrease in liability accounts
- C.** Increase in the capital account
- D.** Decrease in expense account

Answer: B

81. Revenues are reported in the period in which they are earned, and expenses are reported in the period in which they are incurred under

- A.** cash basis of accounting
- B.** Accrual basis of accounting
- C.** A & B
- D.** None

Answer: B

82. Suppose you are the manager of Natibaro Company. The company needs a bank loan in order to purchase machine equipment. In evaluating the loan request, the banker asks about the assets and liabilities of the business. In particular, the banker wants to know the amount of the business's owner's equity. Which one is not true?

- A.** The banker is external user of financial information?
- B.** financial statement that provide the best information to answer the Banker's questions is income statement
- C.** financial statement that provide the best information to answer the Banker's question is balance sheet statement

D. None

Answer: B

83. _____ means transportation cost is paid when the goods are loaded.

A. FOB shipment

B. FOB destination

C. A & B

D. None

Answer: B

84. _____ is a system of recording inventories that updates inventory records only once in an accounting period.

A. Periodic Inventory System

B. inventory system

C. Perpetual Inventory System

D. ALL

Answer: A

85. Unearned Rent appears on the :

- A.** Balance sheet in the current assets section
- B.** Balance sheet as a current liability
- C.** Balance sheet in the long-term liabilities section
- D.** Income statement as revenue

Answer: D

86. Which of the following statements about an account is true?

- A.** It is the simplest form an account consists of two parts

- B. An account is an individual accounting record of increases and decreases in specific asset, liability, and owner's equity items
- C. There are separate accounts for specific assets and liabilities but only one account for owner's equity items.
- D. The left side of an account is the credit or decrease side

Answer: D

87. Accounts that normally have debit balances are:

- A. Assets, expenses, and revenues
- B. Assets, revenues, and owner's capital
- C. Assets, liabilities, and owner's drawings
- D. Assets, owner's drawings, and expenses

Answer: D

88. A ledger:

- A. Contains only asset and liability accounts
- B. Should show account in alphabetic order
- C. Is a collection of the entire group of accounts maintained by a company
- D. Is a book of original entry

Answer: C

89. Posting:

- A. Normally occurs before journalizing
- B. Transfers ledger transaction data to the journal
- C. Is an optional step in the recording process
- D. Transfers journal entries to ledger accounts.

Answer: D

90. Which of the following statement is NOT true about joint ventures

- A. Parties with joint control have the rights to assets & obligation for liabilities
- B. Parties with joint control have the right to net asset of the arrangements
- C. The assets and liabilities held in the separate vehicle are the assets and liabilities of the separate vehicle not the assets and liabilities of the parties
- D. Separate entity will be established to conduct joint activities

Answer: A

91. Investment in joint venture will be increased by all of the following except

- A. Additional investments made by the investor
- C. Investor's share of the investee's profit
- B. Dividends received from the investee
- D. None

Answer: B

92. If the home office of XYZ Co. maintains the accounting records of the plant assets of its branch and that branch acquired equipment for \$10,000 cash, the appropriate journal entry for the branch is:

- A. Debit the Home Office ledger account and credit a plant asset account for \$10,000

- B. Debit the Home Office account and credit Cash for \$10,000
- C. Debit a plant asset account and credit the Home Office account for \$10,000
- D. Debit Cash and credit the Home Office account for \$10,000

Answer: B

93. In accounting for branch transactions, it is improper for the home office to:

- A. Credit cash received from a branch to the Investment in Branch ledger account.
- B. Maintain Common Stock and Retained Earnings ledger accounts for only the home office.

C. Debit shipments of merchandise to the branch from the home office to the Investment in Branch ledger account.

D. Credit shipments of merchandise to the branch to the Sales ledger account

Answer: D

94. On January 31, 2018, AA Corporation pays Br. 700,000 cash and issues 100,000 shares of Br. 20 par common stock with a market value of Br. 30 per share for the acquisition of net assets of BB Company. The amount of AA corporation's investment in net assets in BB Company is:

A. Br.2, 700,000

B. Br.3, 700,000

C. Br.3, 000,000

D. Br.700, 000

Answer: B

95. Which of the following is not true about investment in branch account?

- A. It is a non-current asset account
- B. It is debited for cash, merchandise, and services provided to the branch by the H/O, and for net income reported by the branch.
- C. It is credited for cash or other assets received from the branch, and for net losses reported by the branch.
- D. It is recorded and maintained by the branch

Answer: D

96. All of the followings are true about sale agencies except

- A. Sale agencies conduct merchandise selection, advertising, granting of credit, collection of accounts receivable, and other aspects of operating the business
- B. The agency may display and demonstrate sample merchandise, take orders, and arrange for delivery
- C. Sales agency usually does not stock inventory
- D. Sales agency does not have its own accounting entity

Answer: A

97. Which of the following is /are the reason/s for business combination?

- A. Achieving growth.

- b. Cost savings through elimination of duplicate facilities.
- c. Quick entry for new and existing products into domestic and foreign markets.
- d. All are reasons for business combination

Answer: D

98. In which form of business combinations assets or capital stock of two or more companies are transferred to a newly formed corporation through assets & stock acquisition.

- A. Statutory merger
- B. Statutory consolidation
- C. Stock acquisition
- D. Control through variable interest

Answer: B

99. On the date of business combination under acquisition method good will be occurred if

- A. The acquisition cost exceed the fair value of net identifiable asset
- B. The fair value of net identifiable asset exceed the acquisition cost
- C. The book value of net identifiable asset exceed the acquisition cost
- D. The acquisition cost exceed the book value of net identifiable asset

Answer: A

100. An acquirer might obtain control of an acquiree in which of the following ways?

- A. By transferring cash, cash equivalents or other assets

- B. By issuing equity or debt securities
- C. without transferring consideration, including by contract alone
- D. All are answers

Answer: D

101. Which one of the following accounts would not appear on the consolidated financial statements at the end of the first fiscal period of the combination?

- A. Investment in Subsidiary
- B. Common Stock- Parent
- C. Additional Paid-In Capital – Parent
- D. Retained earnings – Parent

Answer: A

102. The consolidation of a parent company with its partially owned subsidiary differs from a consolidation of wholly owned subsidiary with respect to;

- A. The recognition of minority interest
- B. The recognition of good will
- C. The elimination of parents investment account
- D. None of the above

Answer: A

103. Which of the following is correct about the consolidated financial position for the parent and subsidiaries on the date of business combination under purchase type business combination?

- A. The assets and liabilities of the parent and subsidiary are eliminated from the consolidated financial position.
- B. The parent company investment account appears on the consolidated financial position.
- C. Intercompany payables and receivables do not appear on the consolidated financial position.
- D. None of the above

Answer: C

104. Which of the following is not true about foreign currency transactions

- A. Exposure to foreign currency exchange rate changes will occur if the transaction is

denominated in a foreign currency and payment is made after some time.

B. The exporter is exposed to the risk that the foreign currency might depreciate in the future, if sales are made on credit.

C. The importer is exposed to the risk that the foreign currency might appreciate in the future, if purchase is made on credit.

D. None.

Answer: D

105. A Foreign currency contracts which gives the holder of the option the right but not the obligation to trade (buy or sell) foreign currency in the future is?

A. Forward contracts

B. Option contracts

C. Forward rate

D. Spot rate

Answer: B

106. Ethiopian government in collaboration with financial institutions in the country provides a seed capital to citizens back from Arab countries to start and sustain their living. How could you classify the government expenditure on the basis of benefit?

A. Public expenditure benefiting the entire society.

B. Public expenditure benefiting particular group aims.

C. Neither public expenditure neither benefiting particular group specifically nor whole community in general.

D. Public expenditure benefiting particular group specifically and whole community in general.

Answer: D

107. Which one of the following is false about Public finance & private finance

A. The motive of public finance is to collective satisfaction of the society whereas motive of private finance is individual satisfaction.

B. Government adjusts his income towards budgeted expenditure whereas business firms adjust their expenditure towards income.

C. Public finance & private finance has equal and limited source

D. Public finance is spent by the government on indivisible goods where as private finance are spent on divisible goods

Answer: C

108. Canons of taxation that deals with the knowledge of tax payers about the amount, period and ways of tax payment is;

A. Canons of Economy
of certainty

C. Canons

B. Canons of equality
of convenience

D. Canons

Answer: C

109. One of the following is not true about tax avoidance

- A. It is a legal activity of tax payers to reduce taxable income
- B. It is the act of using tax law opportunities or loopholes in tax
- C. It has no negative effect on income inequality
- D. It creates greater burden on honest payers

Answer: C

110. Which one of the following is correct about proportional tax rate

- A. The amount of income tax rate is equal for all regardless of payer's income level
- B. The amount of income tax rate varies as income of individuals vary

C. The amount of income tax rate decrease as income of individuals increase

D. The amount of income tax rate increase as income of individuals decrease

Answer: A

111. During 2010 fiscal year Mr. Atalay run his business and get income before tax Br. 1,050,050. But he leaved the country in order to prevent paying tax. Simply this statement express as;

A. Delinquent tax

B. Tax abatement

C. Tax exile

D. Tax avoidance

Answer: C

112. One of the following is the compulsory payment made by the individuals who obtain a definite service in return from government.

- A. License fee
- B. Fees
- C. Fines
- D. Penalties

Answer: B

113. Mr. Tizitaw, who retired from Dire Cement Factory, was paid to Pension of Br. 105.5 on each month of employment income. From this information, how much he had basic salary?

- A. Br. 1,055.54
- B. Br. 1,738.5
- C. Br. 1,507.14

D. Br. 2,550

Answer: C

114. TENA enterprise, unincorporated business has reported earnings before tax of birr 65,000 at the tax year ended Sene 30,2011. The amount of tax liability will be;

A. Br. 16,250

B. Br. 9,470

C. Br. 19,500

D. Br. 13,000

Answer: B

115. The tax system express a country with less tax rate than other countries as;

A. Tax favored

B. Tax heaven

- C. Tax shelter**
- D. Tax subsidy**

Answer: B

116. Taxable income relating to a long term contract of a business shall be accounted on the basis of;

- A. Percentage of Completed under Cost to cost method**
- B. Percentage of Completed under output method**
- C. Cost recovery method**
- D. Completed method**

Answer: A

117. XIAN Manufacturing produces a unique valve, and has the capacity to produce 50,000

valves annually. Currently XIAN produces 40,000 valves and is thinking about increasing production to 45,000 valves next year. What is the most likely behavior of total manufacturing costs and unit manufacturing costs given this change?

A) Total manufacturing costs will increase and unit manufacturing costs will stay the same.

B) Total manufacturing costs will increase and unit manufacturing costs will decrease.

C) Total manufacturing costs will stay the same and unit manufacturing costs will stay the same.

D) Total manufacturing costs will stay the same and unit manufacturing costs will decrease.

Answer: B

118. Cost allocation is:

- A) the process of tracking both direct and indirect costs associated with a cost object
- B) the process of determining the actual cost of the cost object
- C) the assignment of indirect costs to the chosen cost object
- D) a function of cost tracing

Answer: C

119. Cost tracing is:

- A) the assignment of direct costs to the chosen cost object
- B) a function of cost allocation
- C) the process of tracking both direct and indirect costs associated with a cost object

D) the process of determining the actual cost of the cost object

Answer: A

120. Which of the following statements refers to management accounting information?

A) There are no regulations governing the reports.

B) The reports are generally delayed and historical.

C) The audience tends to be stockholders, creditors, and tax authorities.

D) It primarily measures and records business transactions.

Answer: A